Colombia’s public finances, 2022-2026, and the “Ley de Rescate Económico”

Cut-off date: 2026-11-03
Coverage: Central National Government (GNC)
Status of the bill: filed on 2026-10-29; **not law** (first debate pending)
Full report (Spanish): `2026-11-03-finanzas-publicas-colombia-ley-rescate.es.md`

Summary

- **The fiscal deterioration is real and structural.** The central government deficit moved from 5.3% of GDP in 2022 to 6.7% in 2024, 6.4% in 2025 and an official 7.2% projection for 2026 (7.8% according to the CARF). For 2027, without measures, the government projects 9.4% of GDP (9.5% CARF), the highest in recent history. Net debt is about 60% of GDP and would reach 66.2%-67.4% in 2027, close to the 71% fiscal-rule ceiling.
- **The 2023 consolidation was cyclical, not structural.** The deficit fell to 4.2% of GDP and net debt to 53.4% on the back of exceptional revenue (high oil prices, inflation and the 2022 tax reform). Once revenue normalised, the deficit returned to 6.7% in 2024. The primary balance stayed negative every year: -1.0% (2022), -0.3% (2023), -2.4% (2024), -3.5% (2025) and -3.3% (2026).
- **Interest and rigid spending are the binding constraints.** Interest rose from 3.9% of GDP in 2023 to 4.4% in 2024 and is projected at 4.9% in 2027 (COP 104.7 trillion), about one third of tax revenue. The 2027 budget allocates COP 147.1 trillion to debt service (23.2% of the total), more than the COP 94.6 trillion for public investment.
- **The “Ley de Rescate” is quantitatively relevant but back-loaded.** It targets a 2.2%-2.4% of GDP adjustment in 2027 and 4.1%-4.7% by 2030. In 2027, however, 87% of the effect comes from spending cuts (2.04% of GDP) and only 0.32% from revenue; the new VAT, personal income tax and health contributions start in 2028. The critical year depends almost entirely on the hardest part to execute.
- **It is a tax shift, not only an adjustment.** The bill cuts the corporate rate from 35% to 33% (2027) and 31% (2028), softens the wealth tax (threshold 95,500 UVT, rates 0.5%/1.0%, until 2030) and broadens VAT to everyday goods (coffee, sugar, pasta, chocolate, fruit and vegetables, internet for low-income households, low-end computers and phones) from 2028. EfectIVA, a cash VAT refund for about 35 million people, is meant to offset the impact. Progressivity is conditional on that refund working.
- **The package stabilises debt; it does not reduce it.** The official scenario with the bill keeps net debt around 64.2% of GDP through 2030, above the 55% anchor and seven points below the 71% ceiling. The government itself concedes the package is “barely enough” to stabilise debt. It is a first step of a multi-year consolidation, not a rescue that restores prudent debt levels.
- **The main risk is political and credibility-related.** The government holds 63 of 90 seats in the economic committees (70%), but not committed votes: the Centro Democrático and parts of the coalition reject the VAT and health-contribution increases. The legislative term ends on 2026-12-16 and four debates are required. If the tax chapter is diluted and spending execution falls short, the 2027 deficit would remain near 8%-9% and a market-driven, more regressive adjustment would follow.

- **Unfunded liabilities sit outside the bill.** The 2026-08-10 earthquake caused COP 30 trillion in direct damage, later revised to COP 54 trillion in reconstruction costs (2.6% of GDP), and triggered an emergency decree still under Constitutional Court review. Health-sector arrears are about COP 27.8 trillion (60.5% overdue), with an actuarial UPC shortfall estimated at COP 33.4 trillion. These compete for the same fiscal space.
- **Bottom line.** The diagnosis is broadly right and the direction of the bill is reasonable, but the programme is back-loaded, distributionally conditional and politically fragile. A more credible path would front-load feasible spending measures, phase the tax changes realistically, commit to verifiable EfectIVA coverage, and set a multi-year primary-balance and debt path with independent monitoring. Without that, Colombia risks a forced adjustment that is larger and more regressive than the one now on the table.

Key figures

Indicator	Latest	Source
GNC deficit 2026	7.2% of GDP (official) / 7.8% (CARF)	MHCP; CARF
GNC primary balance 2026	-3.3% / -3.9%	MHCP; CARF
GNC net debt 2026	59.7% / 60.2%	MHCP; CARF
GNC deficit 2027, no measures	9.4% / 9.5%	MHCP; CARF
GNC net debt 2027	66.2% / 67.4%	MHCP; CARF
Interest 2027	4.9% of GDP (COP 104.7 tn)	MHCP
Gross financing needs 2027	COP 266.3 tn	MHCP
GDP growth 2026 / 2027	2.5% / 1.8%	MHCP; CARF
Inflation (Sep-2026)	6.29%	DANE
Policy rate (Sep-2026)	12.25%	Banco de la República
Unemployment (Sep-2026)	8.0%	DANE
Monetary poverty 2025	28.0% (extreme 9.6%)	DANE

Figures are official data, official projections or CARF estimates as labelled. The bill is not law; its fiscal effects are official estimates from the explanatory memorandum, not independent scores.